

A 5-Year Value Creation Plan

Restoring full potential: ~4.5x EBITDA to approximately **AED 495M by 2026**

Prepared for the CEO and Board · October 2026 · Strictly confidential

McKinsey & Company

Dairyworks can roughly 4.5x EBITDA to ~AED 495M by 2026 — the decline is self-inflicted and reversible

A four-initiative value creation plan in markets growing 5–8% per year

5.8%

2021 EBITDA margin
(down from 18.1% in 2017)

18.3%

Full-potential margin
by 2026

+AED 384M

EBITDA uplift
(~4.5x the 2021 level)

+AED 800M

Revenue uplift
to ~AED 2,700M

THE SITUATION — AND WHY IT IS URGENT

- **#2 in the UAE (~15% share)**, AED 1,900M revenue across milk, yogurt and ice cream in UAE, KSA and Qatar
- **EBITDA fell 69%** — from AED 362M (18.1%) in 2017 to AED 111M (5.8%) in 2021, a –25.6% annual decline
- **The cause is internal:** S&D rose +7.9pp and COGS +5.2pp of revenue; brand spend stayed starved at 0.6% vs peers' 2–3%
- **Markets are a tailwind:** UAE +7.2%, KSA +5.3%, Qatar +7.9% CAGR to 2026 — yet Dairyworks is shrinking
- **Peers prove the prize:** Almarai 27%, NADEC 19%, SADAFCO 17% EBITDA margin today

THE ASK

- Approve the 5-year value creation plan and its four initiatives
- Endorse the full-potential target: ~AED 2,700M revenue, ~AED 495M EBITDA
- Fund the Year-1 distribution and brand reset to stop the decline

Target: +AED 384M EBITDA (~4.5x)

A 30-year-old, three-category business across three GCC markets — scaled, but losing ground on every dimension

Portfolio, footprint, channels and brand health

PORTFOLIO & FOOTPRINT

- Founded 1990, UAE-based, mass-market across milk, yogurt and ice cream
- 5 core SKUs from value to premium (milk AED 4.5–9/L, yogurt, ice cream AED 10/L)
- 3 manufacturing plants, all in the UAE
- Distribution in-house in UAE; outsourced in KSA and Qatar

CHANNELS

- Modern retail ~65%, traditional ~20% dominate
- Online full-basket ~10%, quick-commerce ~5% — small but fast-growing
- Distribution issues reported across all three countries

BRAND HEALTH — 2019 NIELSEN (n=1,000)

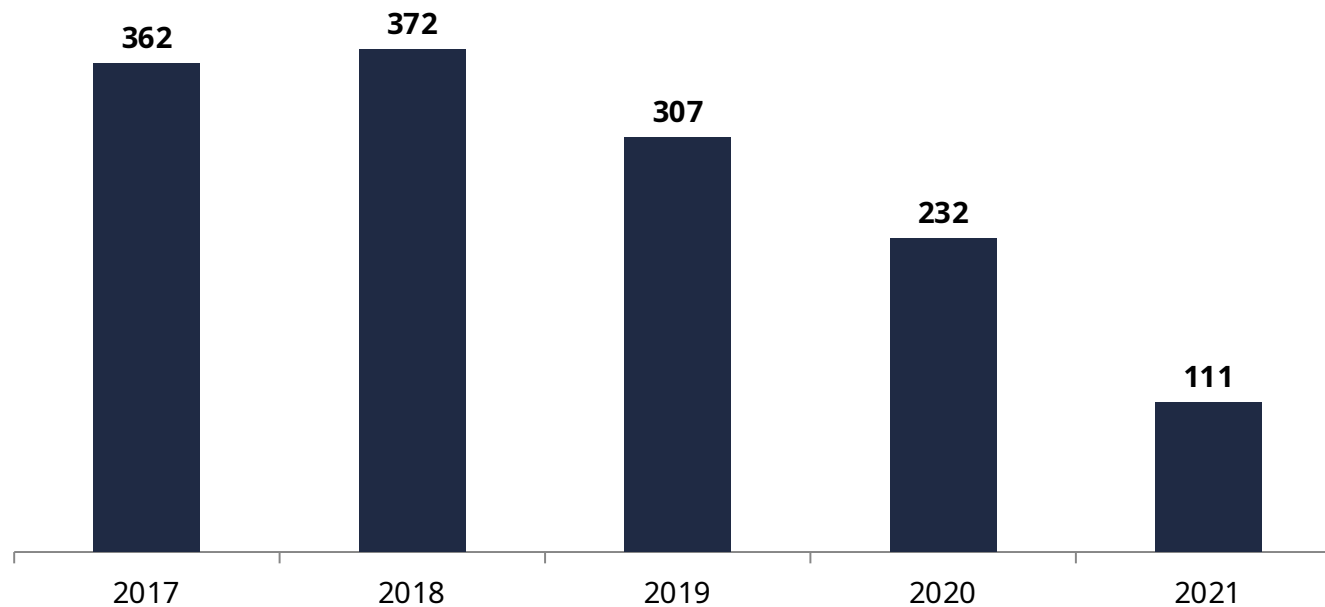
- Only 1 in 5 consumers recognize the brand
- ~60% of those who know it don't understand it
- Only 1 in 10 actively seek out Dairyworks

Implication: Dairyworks has the assets to win — scale, footprint, a premium tail — but brand, cost and distribution all work against it. Every one is a self-help lever.

EBITDA collapsed from AED 362M to AED 111M and margin from 18.1% to 5.8% — a –25.6% annual decline

Dairyworks P&L trajectory, 2017–2021

EBITDA (AED mn)



EBITDA margin: 18.1% → 18.4% → 15.3% → 11.9% → 5.8%

WHAT IS HAPPENING

- **Flat revenue, collapsing profit:** revenue –1.3% CAGR but EBITDA –69% — the problem is margin, not the top line
- **Masked share loss:** volume fell –3.5%/yr (313→272kt), offset by +2.3%/yr price rises
- **Near break-even:** EBIT margin hit 0.6% in 2021 — one bad year from losing money

At 5.8%, Dairyworks earns <¼ of Almarai's margin

Dairyworks lost margin and share in markets compounding 5–8% per year — the cause is internal, not the market

Company performance vs. market growth

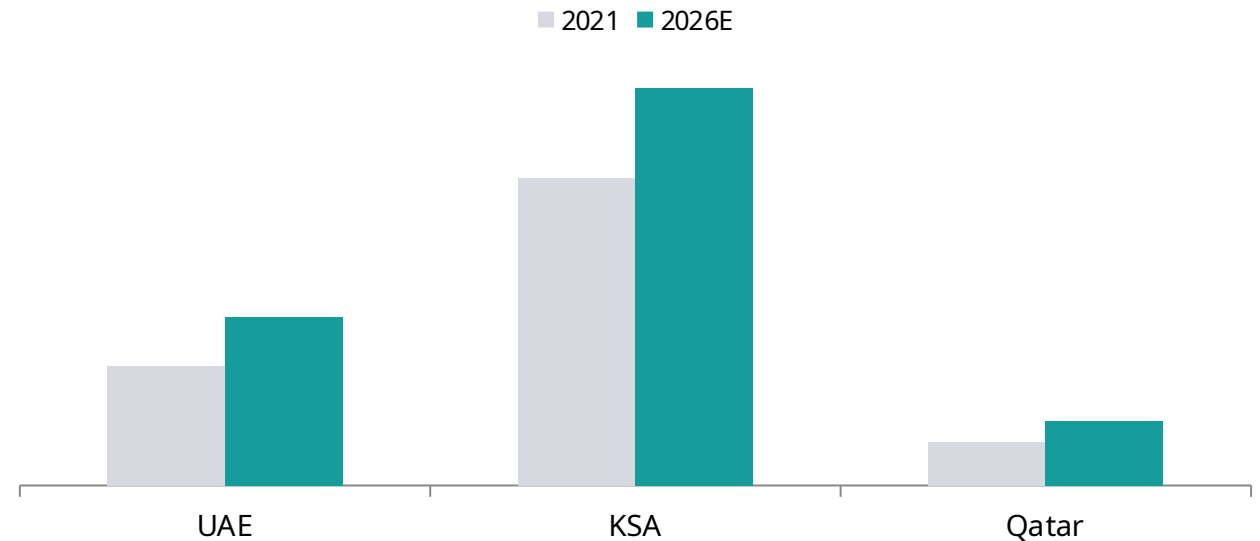
DAIRYWORKS IS GOING BACKWARDS

- Revenue –1.3%/yr; volume –3.5%/yr (2017–2021)
- EBITDA margin down 12.3pp to 5.8%
- Thin, falling share where markets are biggest:

Market	Share
UAE	~15%
KSA	~2%
Qatar	~7%

THE MARKET IS A TAILWIND

Core dairy market size, USD mn RSP



CAGR to 2026: UAE +7.2% • KSA +5.3% • Qatar +7.9%

Fastest pockets: organic milk +11.8%, plant-based +9.9% (Qatar +13.6%), flavored yogurt +7–9%

Two controllable lines — S&D (+7.9pp) and COGS (+5.2pp) — explain the entire 12-point collapse

EBITDA margin bridge, 2017 to 2021 (% of revenue)

Cost line	2017	2021	Change (pp)	Signal
COGS	59.3%	64.5%	+5.2 worse	● HIGH
S&D	17.0%	24.9%	+7.9 worse	● HIGH
A&M	0.6%	0.6%	0.0 starved	● HIGH
G&A	5.0%	4.2%	−0.8 better	● LOW
EBITDA margin	18.1%	5.8%	−12.3	● HIGH

WHY EACH LINE MOVED

- **COGS +5.2pp**: outdated plants, no scale economies, weak procurement
- **S&D +7.9pp**: distribution dysfunction across all 3 countries — worst in outsourced KSA & Qatar (the single largest drag)
- **A&M flat at 0.6%**: chronic brand under-investment vs peers' 2–3% — root of the awareness problem

So what: Fixing distribution and cost alone closes ~13pp of the gap to peers. These are management levers, not market forces.

The commodity core is melting (standard milk –8%, ice cream –10%) while premium/health compounds at 40% GP

Dairyworks revenue and gross profit by SKU, 2017–2021

Product	Rev '17	Rev '21	Rev CAGR	GP% '17	GP% '21	Verdict
Standard milk, 1L	800	570	–8.1%	40%	30%	DEFEND
Organic milk, 1L	360	513	+9.3%	40%	40%	SCALE
Standard yogurt, 500g	340	285	–4.3%	40%	30%	FIX
Flavored yogurt, 120g	160	304	+17.4%	40%	40%	SCALE
Ice cream tub, 1L	340	228	–9.5%	44%	40%	REVIEW
Total	2,000	1,900	–1.3%	41%	36%	

WHAT THE DATA SAYS

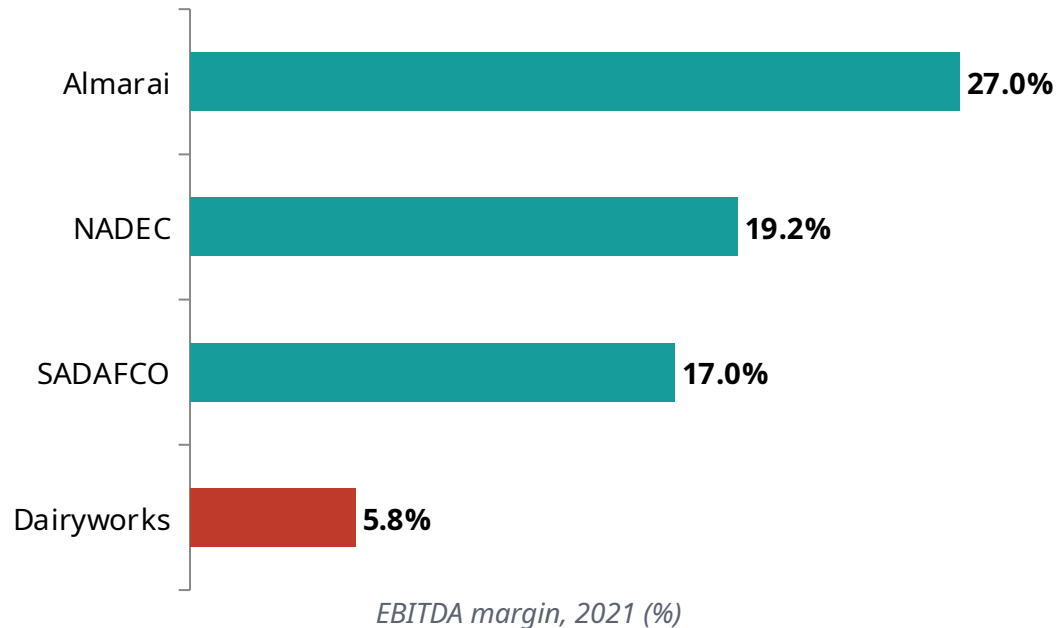
- Premium/health (organic milk + flavored yogurt) = ~43% of revenue at 40% GP, but under-scaled
- Commodity lines lost ~10pp of GP — where scale & cost disadvantages bite
- By geography: UAE –3.0%/yr; KSA +1.5% (only ~2% share = biggest headroom)

So what: Reallocating mix to organic milk and flavored yogurt lifts blended margin and rides the fastest-growing market pockets at the same time.

Peers earn 3–5x our margin on a similar cost base — the gap is distribution (S&D) and inverted brand spend

Peer benchmark, 2021 (% of revenue)

EBITDA margin



Company	COGS	S&D	A&M	EBITDA
Dairyworks	64.5%	24.9%	0.6%	5.8%
SADFACO	64.0%	14.2%	2.2%	17.0%
NADEC	57.0%	18.0%	2.8%	19.2%
Almarai	55.8%	14.1%	2.0%	27.0%

READ-ACROSS

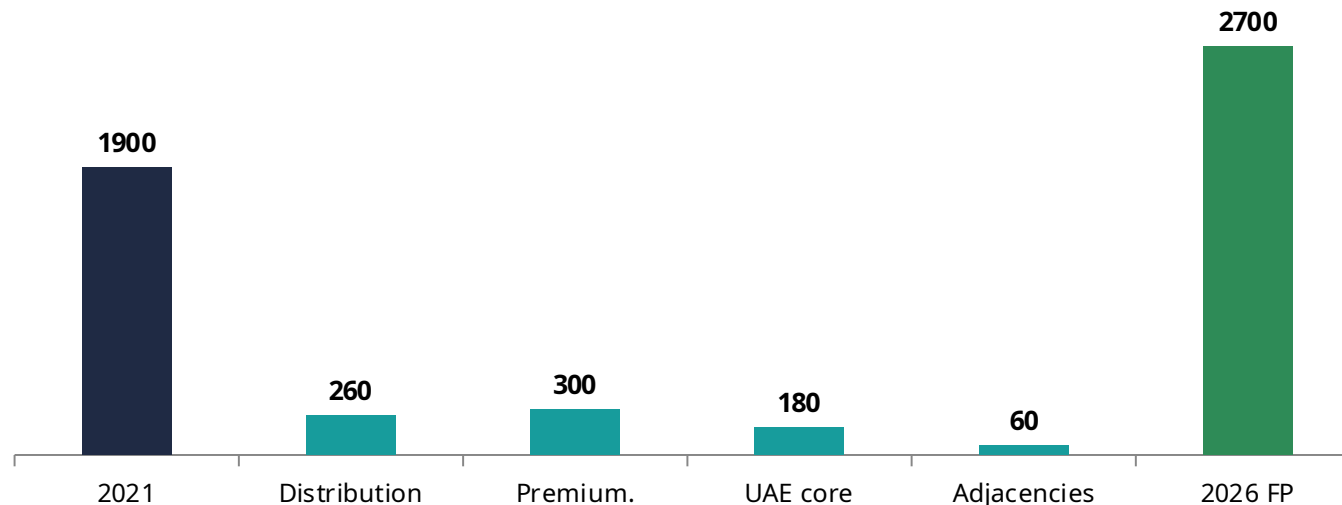
- S&D is the biggest gap: 24.9% vs peers' 14–18% (~7–11pp)
- Brand spend inverted: 0.6% A&M vs 2–3% — starving demand, over-paying to supply

So what: SADFACO proves 17% EBITDA is achievable at our COGS level — the prize is in distribution and brand, not only the factory.

Four initiatives lift revenue +AED 800M and EBITDA +AED 384M — restoring an 18.3% margin in line with peers

Value creation bridges, 2021 base to 2026 full potential

Revenue (AED mn)



Revenue bridge, AED mn: 1,900 → 2,700 (+7.3% CAGR)

EBITDA MARGIN BRIDGE (pp)

Start 2021	5.8%
Distribution / S&D turnaround	+8.4
Manufacturing + procurement	+4.5
Portfolio premiumization	+1.5
Brand reinvestment (A&M)	-1.9
Full potential 2026	18.3%

Full potential: ~AED 495M EBITDA by 2026 — ~4.5x the 2021 level — reached at peer-median economics, not best-in-class Almarai.

Four initiatives turn the diagnosis into value — a coherent, self-funding system

Each initiative, its primary lever and target impact

1

DISTRIBUTION TURNAROUND

Largest EBITDA lever

- Renegotiate/insource KSA & Qatar networks
- Rebuild UAE route-to-market, win back shelf

Target: S&D 24.9% → 16.5% (+8.4pp)

2

COST & MANUFACTURING

Modernize & scale

- Upgrade 3 UAE plants
- Centralize procurement, capture scale

Target: COGS 64.5% → 60.0% (+4.5pp)

3

PORTFOLIO PREMIUMIZATION

Mix to premium/health

- Scale organic milk & flavored yogurt
- Rationalize commodity SKUs; enter plant-based

Target: +AED 360M rev · +1.5pp margin

4

BRAND & DEMAND RESET

Fix the awareness gap

- Step up A&M 0.6% → 2.5%
- Reposition to pull premium volume

Target: Enables the full revenue bridge

A three-horizon plan — stop the bleed, build the engine, reach full potential — each horizon self-funds the next

Implementation roadmap with milestones and owners, 2026–2031

HORIZON 1

Stop the bleed

0–12 months

- Renegotiate KSA & Qatar distribution contracts
- Procurement quick wins; rationalize loss-making SKUs
- Brand relaunch brief

Milestone: S&D –3pp; break-even protected by M12

Owner: COO · CPO · CMO

HORIZON 2

Build the engine

12–36 months

- Plant modernization capex
- Scale organic milk & flavored yogurt; KSA share offensive
- National brand campaign

Milestone: EBITDA ~12%; KSA share 2%→4% by M36

Owner: COO · CMO

HORIZON 3

Reach full potential

36–60 months

- Enter plant-based & functional dairy
- Lead modern & online channels
- Embed premium mix

Milestone: Rev ~AED 2,700M; EBITDA ~18.3% by Yr 5

Owner: CEO · CSO

THE ASK

Approve the plan and fund the Year-1 reset

WHAT WE ASK THE BOARD TO APPROVE

- Endorse the full-potential target: ~AED 2,700M revenue and ~AED 495M EBITDA (18.3%) by 2026
- Approve the four initiatives and the three-horizon sequence
- Authorize Horizon-1 funding: distribution renegotiation, procurement quick wins, SKU rationalization, brand relaunch

WHY NOW

- At 5.8% EBITDA and near-zero EBIT, every year of inaction destroys value and cedes share in markets growing 5–8%
- Horizon-1 is operational self-help — low capital intensity, fast payback — and de-risks later growth investment

Decision: approve the plan and Year-1 reset • Target outcome: +AED 384M EBITDA (~4.5x) over five years

Backup

Discussion questions for the Board

Key decisions and risks to pressure-test before committing capital

- 1** **Distribution:** insource KSA/Qatar or renegotiate? What is the make-vs-buy economics and transition risk?
- 2** **Capex:** what is the investment envelope and payback for modernizing the three UAE plants?
- 3** **Brand:** what A&M ramp and positioning move awareness from 1-in-5, and over what period?
- 4** **Portfolio:** which commodity SKUs do we exit, and how do we protect volume in the transition?
- 5** **Growth:** is KSA share recovery organic, or do we need M&A/partnership from a ~2% base?
- 6** **Risk:** key sensitivities — input-cost inflation, Almarai's competitive response — on the EBITDA bridge?